career, I realized that there was much exaggeration in this negative stereotype. But I was never fully convinced that there was not some justification behind it.

Not until I became governor and got to see the Reserve Bank from within. In the one year that I spent in the bank by the time of the Reuters interview, all my misperceptions about the Reserve Bank had completely melted away. Not only is the Reserve Bank not closed and negative, but on the contrary, it is a remarkably open- and positive-minded institution. Its staff are caring and sensitive, and they always act in the larger public interest.

So, what explains the negative image? I figured that the reasons are inadequate information and even misinformation. Let me illustrate with an example.

The Reserve Bank, among other things, is also a financial sector regulator with the responsibility of ensuring that financial activity in the economy serves the larger collective good. For example, the Reserve Bank has decided to restrain the growth of deposit-taking NBFCs. A narrow evaluation might make this seem like a negative measure depriving the public of an opportunity of a high-risk, high-reward investment option. But if you factor in how millions of poor households are lured by these high rewards, not knowing the risk involved and end up in financial ruin, the wisdom behind this regulation becomes clear. The culprit here is inadequate information about the rationale for this regulatory restriction.

What Needs to be Done to Demystify the Bank?

What needed to be done to demystify the Reserve Bank, therefore, was quite clear. I must spread understanding about the role and responsibilities of the Reserve Bank widely and deeply, and also correct information flaws. The answer certainly was not to carve out a Department for Demystification of the Reserve Bank nor was it to entrust the task to a few people. The answer was to make demystification a part of everything we do every time and all the time. We must be more open, transparent, communicative and